

July 31, 2026 03:43 AM GMT

Apple, Inc. | North America

F3Q26 Earnings – Cracks Emerge in Margins and Services

WHAT'S CHANGED

Apple, Inc. (AAPL.O)	From	To
Price Target	\$364.00	\$360.00

AlphaSignals Earnings Reaction

Weakens our thesis	— In-line	↓ Modest revision lower
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Product demand remains robust, but supply constraints are limiting Sept Q growth, memory inflation pre-iPhone price hikes is causing more pronounced margin pressure, and Services is decelerating. With shares near all-time highs, we'd expect some softness until new catalysts are nearer.

Key Takeaways

- June qtr results were largely clean with the important exception of Services missing expects, due to FX and softer mobile gaming.
- Sept qtr guide was light on topline due to supply constraints, though underlying Products demand remains robust even after some price hikes.
- Gross margins ex-tariff refund also imply larger headwinds than modeled in Sept qtr, though expected iPhone price hikes in late Sept should bring some relief.
- In our view, the biggest blemish was Services print/guide missing, as we previewed, making future price hikes/Siri AI launch more critical to the story.
- Next catalysts: iPhone launch event (early Sept), Siri AI launch (fall), regulatory approval of Apple Intel in EU/China (TBD).

Seeing near-term headwinds in 2 critical legs of the Apple story. History shows that Apple sees the strongest estimate revisions, multiple expansion, and stock outperformance when all 3 key parts of the Apple story are working in unison – iPhone, Services, and gross margins. Tonight's September quarter guide implies two of those factors are facing more serious headwinds than expected – (1) Services growth is decelerating to <10% Y/Y for the first time since June '23 quarter – below our below-Consensus forecast – primarily due to FX headwinds and a slower mobile gaming market, while (2) gross margins ex-tariff refunds were guided to 46.5% at the midpoint (1 pt below Street, 30bps below MSe), with memory costs accounting for >100% of the Q/Q compression in gross margins. iPhone is also seeing headwinds in the September quarter via component constraints, but will still grow mid-teens% Y/Y, and thus we wouldn't be overly critical of iPhone performance / it

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Apple, Inc. (AAPL.O, AAPL US)

IT Hardware | United States of America

Stock Rating	Overweight
Industry View	Cautious
Price target	\$360.00
Shr price, close (Jul 30, 2026)	\$333.43
Mkt cap, curr (mm)	\$4,896,209
52-Week Range	\$344.57-201.50

Fiscal Year Ending	09/25	09/26e	09/27e	09/28e
EPS (\$) **	7.46	8.84	10.00	10.83
Prior EPS (\$) **	-	8.86	10.39	11.29
P/E	34.1	37.7	33.3	30.8
EPS (\$) §	-	8.77	9.75	10.93
Div yld (%)	0.4	0.3	0.3	0.4

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	2.40	-	2.84a	2.92	2.82
Q2	1.65	-	2.01a	2.50	2.42
Q3	1.57	-	2.02a	2.44	2.35
Q4	1.85	2.12	1.96	2.54	2.41

e = Morgan Stanley Research estimates, a = Actual Company reported data

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remains the strongest part of this story.

Big picture, there remains a lot to be constructive on with the Apple story – the installed base continues to grow to all-time highs, FCF is growing 52% Y/Y YTD, the cadence of product launches is accelerating, new form factors are on the come, Siri AI is launching in a few months, and a new CEO is stepping into the helm. Yet at the same time, Apple's leverage over the supply chain appears to be in question, and it's not clear that AI is serving as any measurable tailwind to Products or Services, with its future monetization impact still uncertain. In fact, one could argue App Store softness might even be a result of AI re-prioritizing customer time. Collectively, we believe this means that until Apple reaches its next important catalyst – the iPhone 18/Foldable launch (with pricing disclosures), the Siri AI launch, any international regulatory approvals – or we see an inflection in supply/demand, shares are likely to remain soft as the market sorts through/looks to regain confidence that estimates will move higher again. Post-earnings our FY27 EPS falls to \$10.00 (from \$10.39), though we roll forward our valuation to CY27 EPS of \$10.30, which on an unchanged 35x multiple lowers our price target to \$360.

What we learned from Apple's F3Q26 (June quarter) earnings results:

(-) Demand remains robust, but supply chain challenges persist. While Apple's September quarter outlook introduces a new source of uncertainty, we came away from the print believing demand remains the less controversial part of the story. June quarter results were exceptionally strong, with iPhone revenue growing 22% Y/Y to a record \$54.3B, Mac revenue up 29% Y/Y despite supply constraints, and mgmt highlighting June quarter records across every geographic segment. Importantly, Apple set records for both active installed base and upgraders, suggesting contracting replacement cycles after multiple years of elongation. The challenge, however, is increasingly becoming supply rather than demand. Mgmt acknowledged that the advanced-node (i.e. 3nm) supply constraints will impact iPhone, Mac, and iPad in September. Notably, Apple characterized this as less of a supplier execution issue and more a consequence of demand running ahead of forecasts, while repeatedly emphasizing that the supply chain has "less flexibility" than normal to respond. Mgmt pointed to very lean channel inventory exiting the June quarter that likely remains lean exiting September as well. As a result, although Apple guided iPhone growth in the mid-teens Y/Y range in September, mgmt implied growth could have been stronger absent supply limitations. The key debate for investors now shifts to whether this demand can sustain into December and beyond, or whether higher prices create an elasticity effect (see our thoughts [here](#)). Our latest checks continue to point to unchanged iPhone build forecasts in C2H26, which means that Apple believes consumers will still upgrade after the iPhone 18 Pro/Pro Max/Foldable are released.

(-) Gross margins now seeing more significant memory headwinds – where do margins go from here? If supply constraints are limiting revenue upside, memory inflation is increasingly weighing on profitability. Beneath the headline September quarter gross margin guide of 47-48%, roughly 1 point comes from tariff refunds, implying a ~46.5% underlying margin at the midpoint, a 150bps Q/Q contraction from June ex-refunds vs. historical seasonality of flat to up 50bps. More importantly, mgmt noted that memory costs will account for >100% of the gross margin

compression in the September quarter outlook – despite tailwinds from mix and non-memory component cost savings – as memory costs rise further. The question now becomes – where do gross margins go from here, as memory costs are unlikely to show any relief? Apple still has two incremental tools in its toolbox to wield in the December quarter – iPhone price hikes and foldable iPhone shipments – and thus we believe Apple should be able to expand Product gross margins Q/Q in the December quarter. However, the bigger/broader question that will remain is – does memory inflation delay a more sustained margin recovery deeper into FY27?

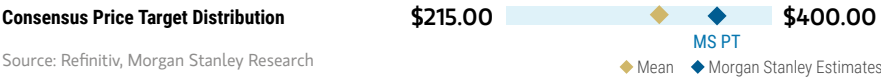
(-) Acknowledgement of App Store headwinds puts Services price hikes / Siri AI launch in limelight. June quarter Services revenue growth of 12% Y/Y missed Street estimates of +14.6% Y/Y, while September quarter guide also implies growth decelerates to ~9.5% Y/Y after incorporating an incremental 2.5-point Y/Y FX headwind. FX remains the largest driver of this decel, but what stood out to us was Apple's unusually direct acknowledgement of App Store softness – mgmt pointed to headwinds in mobile gaming, variability in game-release schedules, changes to App Store business models in certain countries, ongoing litigation-related impacts, and even broader shifts in consumer engagement patterns. While Apple stopped short of attributing weakness to any single factor, the commentary reinforces that App Store growth is no longer an outperformer within Services (confirmed by the Q/Q contraction in Services margins), consistent with what we've observed from Sensor Tower data. That said, mgmt was enthusiastic about Siri AI, describing internal and developer feedback as overwhelmingly positive, while also suggesting increased usage could eventually drive opportunities for higher-tier iCloud+ subscriptions. Still, the company acknowledged it is still early in determining both compute cost implications and revenue opportunities. While mgmt is constructive on long-term Services revenue growth, we'd expect tough FX compares and App Store deceleration to remain the relative headwinds for Apple's Services business.

Risk Reward – Apple, Inc. (AAPL.O)

Higher Pricing, Higher Earnings Power, And A Catalyst-Laden 2H

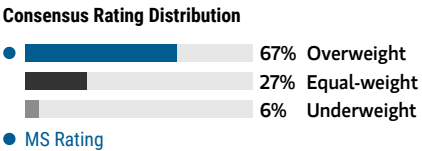
PRICE TARGET \$360.00

Our \$360 PT is based an 9.4x EV/Sales CY27 multiple, which is derived from a regression of tech and consumer platform peers. Our price target implies ~35x P/E on \$10.30 CY27 EPS.

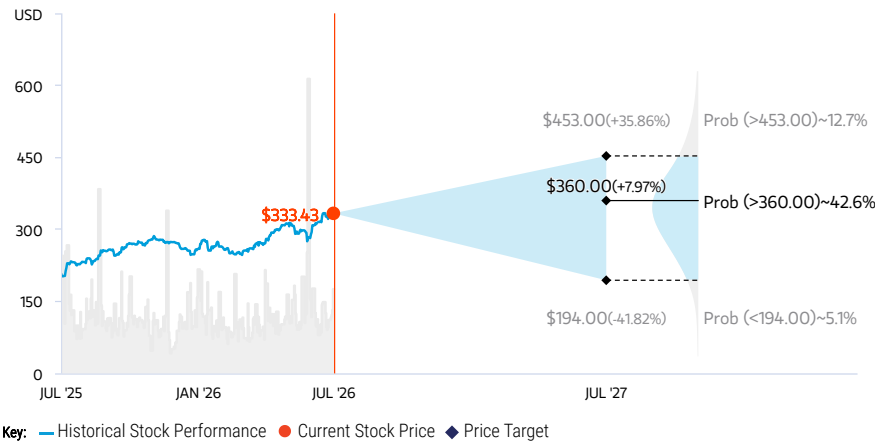


OVERWEIGHT THESIS

With the most elongated iPhone replacement cycles, new AI features rolling out around the world, and a renewed focus on device form factor changes, we believe Apple can accelerate iPhone growth starting in CY26, with replacement cycles peaking as aged installed base starts to upgrade. When combined with consistent, double digit services growth and moderate operating leverage, we believe Apple can earn \$10.00 in FY27 and \$10.83 by FY28. Memory cost dynamic could create uncertainties in the near term. Longer-term, investments in AI, payments, cloud, health, and home, and long runway to grow spend per user from \$1/day today are key arguments for sustained long-term growth and value creation.



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 30 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Risk Reward Themes

Disruption: Positive

New Data Era: Positive

Pricing Power: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$453.00

11x EV/Sales FY27; ~41x Bull FY27 P/E of \$11.02

iPhone replacement cycles accelerate in FY26/FY27 with Robotics as an long-term upside. Consumer demand returns, and stronger than expected iPhone 17 upgrade intentions + mix shift to higher end iPhones drives mid-teens Y/Y iPhone revenue growth, while rising component costs are mitigated given Apple's bargaining power against consumers and the supply chain. Our bull case valuation implies a 41.1x P/E multiple on FY27 Bull EPS, which embeds \$22 per share of upside from its Robotics efforts.

BASE CASE \$360.00

9.4x EV/Sales CY27 or ~35x CY27 EPS of \$10.30

Services and margins remain resilient, while investors start to expect stronger iPhone cycles ahead. Revenue grows mid-teens % Y/Y in FY27, driven by 10%+ Services growth and mid-teens % Products growth. GM may contract Y/Y in FY27 driven by higher Product revenue mix and memory costs, while Apple leverages the supply chain and repricing to mitigate the cost impact. The iPhone replacement cycle is elongating again in FY27 due to demand elasticity amidst memory-induced pricing increases.

BEAR CASE \$194.00

6.3x EV/Sales FY27; 24.6x FY27 Bear EPS of \$7.89

iPhone 17 cycle disappoints as consumer spending weakens more than expected amidst synthetic price increases. Growth slows further across the portfolio as discretionary income is pressured by hard landing, leading to just LSD of Product rev growth and decelerating Services rev growth in FY26. With revenue slightly growing but margin contracting, FY26 EPS will only grow MSD to ~\$7.36. Our bear case valuation implies a 24.6x FY27 P/E, below T5Y avg of 26.0x due to plateauing Services profit mix.

Risk Reward – Apple, Inc. (AAPL.O)

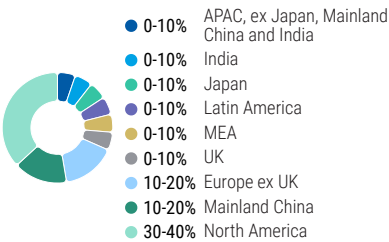
KEY EARNINGS INPUTS

Drivers	Sep 2025	Sep 2026e	Sep 2027e	Sep 2028e
Total Revenue Growth (Y/Y) (%)	6.4	14.6	13.9	5.5
iPhone Revenue Growth (Y/Y) (%)	4.2	20.7	18.9	4.0
Services Revenue Growth (Y/Y) (%)	13.5	12.9	10.6	11.6
Gross Margin (%)	46.9	48.7	47.1	48.1
EPS Growth (Y/Y) (%)	10.6	18.4	13.1	8.3

INVESTMENT DRIVERS

- Positive iPhone build revisions / clearer signs of accelerating replacement cycles
- Services revenue growth reacceleration
- Apple Intelligence feature and distribution expansion
- New product launches in home, health and AI

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- iPhone 18 outperforms expectations
- Apple Intelligence adoption surprises to the upside
- Apple introduces new product lines
- Services growth re-accelerates despite tougher compares
- Gross margins surprise positively

RISKS TO DOWNSIDE

- Weak consumer spending limits iPhone upgrade rates
- Higher memory input costs
- Limited progress on AI features
- Geopolitical tensions
- Increased regulation, particularly with App Store

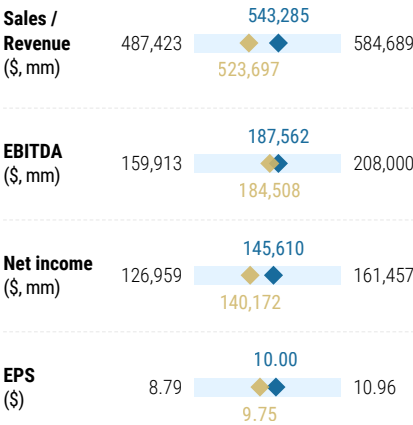
OWNERSHIP POSITIONING

Inst. Owners, % Active	47.5%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Sep 2027e



Source: Refinitiv, Morgan Stanley Research

Earnings Variance

Exhibit 1: Apple F3Q26 Earnings Variance

Apple Earnings Analysis

Ticker: AAPL

Industry View: **Cautious**

Rating: **Overweight**

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F4Q26 Expectations

Consensus (pre-call): F4Q26 revenue of \$114.9B, GM 47.4%, OPEX \$19.3B, tax rate of 17.0% and EPS of \$2.01

MS estimates (pre-call): F4Q26 revenue of \$121.3B, GM 46.8%, OPEX \$19.6B, OI&E \$155M, tax rate of 17.0% and EPS of \$2.12

(\$ Millions)	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F3Q26E	% Delta	Share Impact	Cons. Est.
Total Revenues	94,930	124,300	95,359	94,036	102,466	143,756	111,184	109,417	108,468	1%	\$0.03	109,039
Y/Y Growth	6%	4%	5%	10%	8%	16%	17%	16%	15%			
Q/Q Growth	11%	31%	-23%	-1%	9%	40%	-23%	-2%	-2%			
Gross Profit	43,879	58,275	44,867	43,718	48,341	69,231	54,781	54,770	52,239	5%	\$0.14	52,432
Gross Profit Margin	46.2%	46.9%	47.1%	46.5%	47.2%	48.2%	49.3%	50.1%	48.2%	190 bps		48.1%
SG&A	6,523	7,175	6,728	6,650	7,048	7,492	7,477	7,346	7,267	1%	(\$0.00)	
SG&A as a % of Sales	6.9%	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	6.7%	6.7%			
R&D	7,765	8,268	8,550	8,866	8,866	10,887	11,419	11,729	11,823	-1%	\$0.01	
R&D as a % of Sales	8.2%	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.7%	10.9%			
Total Operating Expenses	14,288	15,443	15,278	15,516	15,914	18,379	18,896	19,075	19,090	0%		18,942
Operating Income	29,591	42,832	29,589	28,202	32,427	50,852	35,885	35,695	33,149	8%	\$0.12	33,491
Operating Margin	31.2%	34.5%	31.0%	30.0%	31.6%	35.4%	32.3%	32.6%	30.6%	206 bps		30.7%
Other Income & Expense	19	(248)	(279)	(171)	377	150	(52)	572	251	128%	0.0	
Tax rate	15.6%	14.7%	15.5%	16.4%	16.3%	17.5%	17.5%	17.9%	17.0%			
Operating EPS	\$1.64	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$2.02	\$1.89	7%	\$0.14	\$1.89
Share Count	15,243	15,151	15,056	14,948	14,864	14,810	14,726	14,715	14,693	0%		
Segment Revenue (\$M)	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F3Q26E			
iPhone	46,222	69,138	46,841	44,582	49,025	85,269	56,994	54,252	54,473	0%		53,742
Y/Y Growth	6%	-1%	2%	13%	6%	23%	22%	22%	22%			
iPad	6,950	8,088	6,402	6,581	6,952	8,595	6,914	6,191	6,649	-7%		7,098
Y/Y Growth	8%	15%	15%	-8%	0%	6%	8%	-6%	1%			
Mac	7,744	8,987	7,949	8,046	8,726	8,386	8,399	10,352	8,092	28%		8,680
Y/Y Growth	2%	16%	7%	15%	13%	-7%	6%	29%	1%			
Wearables, Home and Accessories	9,042	11,747	7,522	7,404	9,013	11,493	7,901	7,883	8,175	-4%		7,904
Y/Y Growth	-3%	-2%	-5%	-9%	0%	-2%	5%	6%	10%			
Services	24,972	26,340	26,645	27,423	28,750	30,013	30,976	30,739	31,080	-1%		31,414
Y/Y Growth	12%	14%	12%	13%	15%	14%	16%	12%	13%			
Segment Gross Margin (\$M)	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F3Q26E			
Product Gross Profit	25,392	38,513	24,684	22,993	26,697	46,265	31,029	31,525	28,463	11%		
Product Gross Margin	36.3%	39.3%	35.9%	34.5%	36.2%	40.7%	38.7%	40.1%	36.8%	329 bps		
Services Gross Profit	18,487	19,762	20,183	20,725	21,644	22,966	23,752	23,245	23,776	-2%		
Services Gross Margin	74.0%	75.0%	75.7%	75.6%	75.3%	76.5%	76.7%	75.6%	76.5%	-88 bps		
Regional Revenue (\$M)	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F3Q26E			
Americas	41,664	52,648	40,315	41,198	44,192	58,529	45,093	45,781				
Y/Y Growth	4%	4%	8%	9%	6%	11%	12%	11%				
Europe, Middle East, Africa	24,924	33,861	24,454	24,014	28,703	38,146	28,055	29,395				
Y/Y Growth	11%	11%	1%	10%	15%	13%	15%	22%				
Greater China	15,033	18,513	16,002	15,369	14,493	25,526	20,497	18,816				
Y/Y Growth	0%	-11%	-2%	4%	-4%	38%	28%	22%				
Japan	5,926	8,987	7,298	5,782	6,636	9,413	8,401	6,554				
Y/Y Growth	8%	16%	17%	13%	12%	5%	15%	13%				
Rest of Asia Pacific	7,383	10,291	7,290	7,673	8,442	12,142	9,138	8,871				
Y/Y Growth	17%	1%	8%	20%	14%	18%	25%	16%				
Balance Sheet / Return Metrics	F4Q24A	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F3Q26E			
CFO	26,811	29,935	23,952	27,867	29,728	53,925	28,702	34,369	41,584	-17%		
FCF	23,903	26,995	20,881	24,405	26,486	51,552	26,731	31,914	39,305	-19%		
Repurchase of Common Stock	25,083	23,606	25,898	21,075	20,132	24,701	12,288	25,105	24,000	5%		
Total deferred Revenue	11,209	11,660	11,723	11,830	11,786	12,870	13,103	13,343	13,278	0%		
Y/Y Growth	0%	1%	5%	6%	5%	10%	12%	13%	12%			
Inventory Turns	29	31	34	37	39	39	35	22	35	-39%		
Days Sales	32	22	25	27	36	26	25	26	30	-13%		
Days Payable	124	86	96	91	119	87	92	107	93	16%		
Days Inventory	13	10	11	11	10	7	11	18	11	68%		
Cash Conversion	(79)	(55)	(61)	(54)	(73)	(54)	(56)	(63)	(52)			

Source: Company data, FactSet, Morgan Stanley Research estimates

Apple (AAPL) Financial Model

Exhibit 2: Apple Income Statement

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Revenues	124,300	95,359	94,036	102,466	143,756	111,184	109,417	112,670	150,095	130,907	130,427	131,855	391,035	416,161	477,027	543,285	573,412
iPhone	69,138	46,841	44,582	49,025	85,269	56,994	54,252	56,382	87,162	72,728	70,106	70,608	201,183	209,586	252,897	300,604	312,567
iPad	8,088	6,402	6,581	6,952	8,595	6,914	6,191	7,104	8,624	6,996	6,526	7,112	26,694	28,023	28,804	29,258	29,528
Mac	8,987	7,949	8,046	8,726	8,386	8,399	10,352	8,724	9,327	9,486	10,979	8,787	29,984	33,708	35,861	38,579	37,875
Wearables, Home and Accessories	11,747	7,522	7,404	9,013	11,493	7,901	7,883	8,992	12,181	8,062	8,282	10,066	37,005	35,686	36,269	38,590	41,320
Services	26,340	26,645	27,423	28,750	30,013	30,976	30,739	31,468	32,801	33,635	34,535	35,283	96,169	109,158	123,196	136,253	152,123
Cost of Sales	66,025	50,492	50,318	54,125	74,525	56,403	54,647	59,196	80,774	68,403	69,074	69,224	210,352	220,960	244,771	287,474	297,518
Gross Profit	58,275	44,867	43,718	48,341	69,231	54,781	54,770	53,473	69,321	62,504	61,354	62,632	180,683	195,201	232,255	255,810	275,894
<i>Gross Margin</i>	<i>46.9%</i>	<i>47.1%</i>	<i>46.5%</i>	<i>47.2%</i>	<i>48.2%</i>	<i>49.3%</i>	<i>50.1%</i>	<i>47.5%</i>	<i>46.2%</i>	<i>47.7%</i>	<i>47.0%</i>	<i>47.5%</i>	<i>46.2%</i>	<i>46.9%</i>	<i>48.7%</i>	<i>47.1%</i>	<i>48.1%</i>
Operating Expenses	15,443	15,278	15,516	15,914	18,379	18,896	19,075	19,379	20,488	20,683	20,868	21,123	57,467	62,151	75,729	83,163	90,299
Research and Development	8,268	8,550	8,866	8,866	10,887	11,419	11,729	11,830	12,683	13,025	13,173	13,383	31,370	34,550	45,865	52,265	57,517
Selling, General and Administrative	7,175	6,728	6,650	7,048	7,492	7,477	7,346	7,549	7,805	7,658	7,695	7,740	26,097	27,601	29,864	30,898	32,781
Operating Income	42,832	29,589	28,202	32,427	50,852	35,885	35,695	34,094	48,833	41,821	40,485	41,508	123,216	133,050	156,526	172,647	185,595
<i>PTOP Margin</i>	<i>34.5%</i>	<i>31.0%</i>	<i>30.0%</i>	<i>31.6%</i>	<i>35.4%</i>	<i>32.3%</i>	<i>32.6%</i>	<i>30.3%</i>	<i>32.5%</i>	<i>31.9%</i>	<i>31.0%</i>	<i>31.5%</i>	<i>31.5%</i>	<i>32.0%</i>	<i>32.8%</i>	<i>31.8%</i>	<i>32.4%</i>
Total Interest & Other Income	(248)	(279)	(171)	377	150	(52)	572	350	142	167	191	198	269	(321)	1,020	698	746
Pretax Income	42,584	29,310	28,031	32,804	51,002	35,833	36,267	34,444	48,974	41,988	40,676	41,706	123,485	132,729	157,546	173,345	186,342
GAAP Income Tax Provision	6,254	4,530	4,597	5,338	8,905	6,255	6,478	5,683	7,836	6,718	6,508	6,673	29,749	20,719	27,321	27,735	29,815
Operating Tax Provision (excl one time tax eff)	6,254	4,530	4,597	5,338	8,905	6,255	6,478	5,683	7,836	6,718	6,508	6,673	19,503	20,719	27,321	27,735	29,815
<i>Effective Tax Rate</i>	<i>14.7%</i>	<i>15.5%</i>	<i>16.4%</i>	<i>16.3%</i>	<i>17.5%</i>	<i>17.5%</i>	<i>17.9%</i>	<i>16.5%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>16.0%</i>	<i>15.8%</i>	<i>15.6%</i>	<i>17.3%</i>	<i>16.0%</i>	<i>16.0%</i>
Operating Net Income	36,330	24,780	23,434	27,466	42,097	29,578	29,789	28,761	41,138	35,270	34,168	35,033	103,982	112,010	130,225	145,610	156,527
<i>Operating Net Income Margin</i>	<i>29.2%</i>	<i>26.0%</i>	<i>24.9%</i>	<i>26.8%</i>	<i>29.3%</i>	<i>26.6%</i>	<i>27.2%</i>	<i>25.5%</i>	<i>27.4%</i>	<i>26.9%</i>	<i>26.2%</i>	<i>26.6%</i>	<i>26.6%</i>	<i>26.9%</i>	<i>27.3%</i>	<i>26.8%</i>	<i>27.3%</i>
Total Non-recurring Charges	-	-	-	-	-	-	-	-	-	-	-	-	(10,246)	-	-	-	-
GAAP Net Income	36,330	24,780	23,434	27,466	42,097	29,578	29,789	28,761	41,138	35,270	34,168	35,033	93,736	112,010	130,225	145,610	156,527
Fully-diluted EPS																	
EPS - ModelWare	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$2.02	\$1.96	\$2.82	\$2.42	\$2.35	\$2.41	\$6.75	\$7.46	\$8.84	\$10.00	\$10.83
EPS - Reported	\$2.40	\$1.65	\$1.57	\$1.85	\$2.84	\$2.01	\$2.02	\$1.96	\$2.82	\$2.42	\$2.35	\$2.41	\$6.08	\$7.46	\$8.84	\$10.00	\$10.83
EPS - ModelWare excl. Stock Option Expe	\$2.61	\$1.86	\$1.78	\$2.06	\$3.09	\$2.25	\$2.26	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Dividend Payment	3,856	3,758	3,945	3,862	3,921	3,822	4,035	4,002	4,061	3,972	4,188	4,159	15,234	15,421	15,780	16,380	17,024
Dividend Per Share	\$0.25	\$0.25	\$0.26	\$0.26	\$0.26	\$0.26	\$0.27	\$0.27	\$0.28	\$0.27	\$0.29	\$0.29	\$0.99	\$1.03	\$1.08	\$1.13	\$1.18
Period Ending Outstanding Shares	15,040.7	14,939.3	14,856.7	14,773.3	14,702.7	14,667.7	14,615.9	14,582.3	14,550.1	14,519.2	14,489.8	14,461.6	15,116.8	14,773.3	14,582.3	14,461.6	14,370.3
Avg Shares (Basic)	15,081.7	14,994.1	14,902.9	14,815.3	14,748.2	14,673.3	14,646.1	14,599.1	14,566.2	14,534.7	14,504.5	14,475.7	15,343.8	14,948.5	14,666.7	14,520.3	14,413.8
Avg Shares (Fully Diluted)	15,150.9	15,056.1	14,948.2	14,863.6	14,810.4	14,725.9	14,714.7	14,667.7	14,608.2	14,576.7	14,546.5	14,517.7	15,408.1	15,004.7	14,729.6	14,562.3	14,455.8

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Apple Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	46.9%	47.1%	46.5%	47.2%	48.2%	49.3%	50.1%	47.5%	46.2%	47.7%	47.0%	47.5%	46.2%	46.9%	48.7%	47.1%	48.1%
Product	39.3%	35.9%	34.5%	36.2%	40.7%	38.7%	40.1%	36.8%	37.9%	37.9%	36.6%	37.1%	37.2%	36.8%	39.2%	37.4%	37.9%
iPhone	42.8%	39.3%	37.4%	40.0%	44.5%	43.0%	45.0%	40.5%	41.5%	41.5%	40.0%	40.5%	40.6%	40.2%	43.4%	40.9%	41.1%
iPad	29.7%	27.5%	26.8%	26.8%	28.0%	28.0%	28.0%	27.0%	27.0%	26.0%	27.0%	27.0%	28.6%	27.8%	27.8%	26.8%	27.9%
Mac	32.3%	28.5%	30.0%	30.0%	31.0%	28.0%	30.0%	29.0%	27.0%	26.8%	26.8%	27.1%	30.3%	30.3%	29.5%	26.9%	28.3%
Wearables, Home and Accessories	30.8%	29.9%	28.9%	28.9%	28.8%	28.3%	28.8%	28.8%	28.5%	28.5%	28.5%	29.0%	30.6%	29.7%	28.7%	28.6%	29.0%
Services	75.0%	75.7%	75.6%	75.3%	76.5%	76.7%	75.6%	75.0%	75.7%	76.3%	76.0%	76.0%	73.9%	75.4%	75.9%	76.0%	76.5%
R&D	6.7%	9.0%	9.4%	8.7%	7.6%	10.3%	10.7%	10.5%	8.5%	10.0%	10.1%	10.2%	8.0%	8.3%	9.6%	9.6%	10.0%
SG&A	5.8%	7.1%	7.1%	6.9%	5.2%	6.7%	6.7%	6.7%	5.2%	5.9%	5.9%	5.9%	6.7%	6.6%	6.3%	5.7%	5.7%
Operating Expenses	12.4%	16.0%	16.5%	15.5%	12.8%	17.0%	17.4%	17.2%	13.7%	15.8%	16.0%	16.0%	14.7%	14.9%	15.9%	15.3%	15.7%
EBITDA Margin	36.9%	33.8%	33.0%	34.7%	37.6%	35.4%	35.7%	33.5%	35.0%	34.8%	33.9%	34.3%	34.4%	34.8%	35.7%	34.5%	35.1%
PTOP Margin	34.5%	31.0%	30.0%	31.6%	35.4%	32.3%	32.6%	30.3%	32.5%	31.9%	31.0%	31.5%	31.5%	32.0%	32.8%	31.8%	32.4%
Pretax Margin	34.3%	30.7%	29.8%	32.0%	35.5%	32.2%	33.1%	30.6%	32.6%	32.1%	31.2%	31.6%	31.6%	31.9%	33.0%	31.9%	32.5%
Net Income	29.2%	26.0%	24.9%	26.8%	29.3%	26.6%	27.2%	25.5%	27.4%	26.9%	26.2%	26.6%	26.6%	26.9%	27.3%	26.8%	27.3%
Year-Over-Year Growth (%)																	
Revenue	4%	5%	10%	8%	16%	17%	16%	10%	4%	18%	19%	17%	2%	6%	15%	14%	6%
iPhone	-1%	2%	13%	6%	23%	22%	22%	15%	2%	28%	29%	25%	0%	4%	21%	19%	4%
iPad	15%	15%	-8%	0%	6%	8%	-6%	2%	0%	1%	5%	0%	-6%	5%	3%	2%	1%
Mac	16%	7%	15%	13%	-7%	6%	29%	0%	11%	13%	6%	1%	2%	12%	6%	8%	-2%
Wearables, Home and Accessories	-2%	-5%	-9%	0%	-2%	5%	6%	0%	6%	2%	5%	12%	-7%	-4%	2%	6%	7%
Services	14%	12%	13%	15%	14%	16%	12%	9%	9%	9%	12%	12%	13%	14%	13%	11%	12%
Gross Margin	6%	6%	10%	10%	19%	22%	25%	11%	0%	14%	12%	17%	7%	8%	19%	10%	8%
iPhone	0%	0%	10%	7%	28%	33%	46%	16%	-5%	23%	15%	25%	1%	3%	30%	12%	5%
iPad	14%	13%	-12%	-5%	0%	10%	-2%	3%	-3%	-6%	2%	0%	-3%	2%	3%	-2%	5%
Mac	17%	4%	15%	13%	-10%	4%	29%	-3%	-3%	8%	-5%	-6%	5%	12%	4%	-2%	3%
Wearables, Home and Accessories	-5%	-4%	-12%	-4%	-8%	-1%	6%	-1%	5%	3%	4%	13%	-5%	-6%	-2%	6%	8%
Services	17%	13%	16%	17%	16%	18%	12%	9%	8%	8%	13%	14%	18%	16%	14%	11%	12%
R&D	7%	8%	11%	14%	32%	34%	32%	33%	16%	14%	12%	13%	5%	10%	33%	14%	10%
SG&A	6%	4%	5%	8%	4%	11%	10%	7%	4%	2%	5%	3%	5%	6%	8%	3%	6%
Operating Expenses	7%	6%	8%	11%	19%	24%	23%	22%	11%	8%	9%	9%	5%	8%	22%	10%	9%
PTOP Margin	6%	6%	11%	10%	19%	21%	27%	5%	-4%	17%	13%	22%	8%	8%	18%	10%	7%
Pretax Margin	6%	4%	10%	11%	20%	22%	29%	5%	-4%	17%	12%	21%	9%	7%	19%	10%	7%
Net Income	7%	5%	9%	10%	16%	19%	27%	5%	-2%	19%	15%	22%	7%	8%	16%	12%	7%
ModelWare EPS	10%	8%	12%	13%	19%	22%	29%	6%	-1%	20%	16%	23%	10%	11%	18%	13%	8%
Sequential Growth (%)																	
Revenue	31%	-23%	-1%	9%	40%	-23%	-2%	3%	33%	-13%	0%	1%					
iPhone	50%	-32%	-5%	10%	74%	-33%	-5%	4%	55%	-17%	-4%	1%					
iPad	16%	-21%	3%	6%	24%	-20%	-10%	15%	21%	-19%	-7%	9%					
Mac	16%	-12%	1%	8%	-4%	0%	23%	-16%	7%	2%	16%	-20%					
Wearables, Home and Accessories	30%	-36%	-2%	22%	28%	-31%	0%	14%	35%	-34%	3%	22%					
Services	5%	1%	3%	5%	4%	3%	-1%	2%	4%	3%	3%	2%					
Gross Margin	33%	-23%	-3%	11%	43%	-21%	0%	-2%	30%	-10%	-2%	2%					
iPhone	61%	-38%	-9%	18%	93%	-35%	0%	-6%	58%	-17%	-7%	2%					
iPad	23%	-27%	0%	6%	29%	-20%	-10%	11%	21%	-22%	-3%	9%					
Mac	25%	-22%	7%	8%	-1%	-10%	32%	-19%	0%	1%	16%	-19%					
Wearables, Home and Accessories	33%	-38%	-5%	22%	27%	-33%	2%	14%	34%	-34%	3%	24%					
Services	7%	2%	3%	4%	6%	3%	-2%	2%	5%	3%	2%	2%					
R&D	6%	3%	4%	0%	23%	5%	3%	1%	7%	3%	1%	2%					
SG&A	10%	-6%	-1%	6%	6%	0%	-2%	3%	3%	-2%	0%	1%					
Operating Expenses	8%	-1%	2%	3%	15%	3%	1%	2%	6%	1%	1%	1%					
PTOP Margin	45%	-31%	-5%	15%	57%	-29%	-1%	-4%	43%	-14%	-3%	3%					
Pretax Margin	44%	-31%	-4%	17%	55%	-30%	1%	-5%	42%	-14%	-3%	3%					
Net Income	45%	-32%	-5%	17%	53%	-30%	1%	-3%	43%	-14%	-3%	3%					
ModelWare EPS	46%	-31%	-5%	18%	54%	-29%	1%	-3%	44%	-14%	-3%	3%					
Revenue Mix																	
iPhone	56%	49%	47%	48%	59%	51%	50%	50%	58%	56%	54%	54%	51%	50%	53%	55%	55%
iPad	7%	7%	7%	7%	6%	6%	6%	6%	6%	5%	5%	5%	7%	7%	6%	5%	5%
Mac	7%	8%	9%	9%	6%	8%	9%	8%	6%	7%	8%	7%	8%	8%	8%	7%	7%
Wearables, Home and Accessories	9%	8%	8%	9%	8%	7%	7%	8%	8%	6%	6%	8%	9%	9%	8%	7%	7%
Services	21%	28%	29%	28%	21%	28%	28%	28%	22%	26%	26%	27%	25%	26%	26%	25%	27%

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Apple Balance Sheet

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Assets																	
Current Assets:																	
Cash and cash equivalents	30,299	28,162	36,269	35,934	45,317	45,572	39,544	40,059	60,246	79,578	85,271	94,574	29,943	35,934	40,059	94,574	157,349
Short-term investments	111,069	104,760	96,717	96,486	99,478	101,023	106,973	106,973	106,973	106,973	106,973	106,973	126,707	96,486	106,973	106,973	106,973
Accounts receivable	29,639	26,136	27,557	39,777	39,921	30,339	31,398	42,864	35,892	36,363	40,132	45,863	33,410	39,777	42,864	45,863	37,777
Inventories	6,911	6,269	5,925	5,718	5,875	6,747	11,092	10,295	12,292	11,400	11,386	12,039	7,286	5,718	10,295	12,039	8,557
Deferred tax assets	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546	5,546
Other current assets	37,369	32,225	28,091	42,219	39,855	32,975	39,383	46,713	44,705	36,900	41,584	49,500	41,574	42,219	46,713	49,500	49,500
Total Current Assets	220,833	203,098	200,105	225,680	235,992	222,202	233,936	252,450	265,654	276,760	290,891	314,495	244,466	225,680	252,450	314,495	365,702
Property, Plant & Equipment, net	46,069	46,876	48,508	49,834	50,159	50,116	51,431	50,780	50,384	49,980	49,984	50,280	45,680	49,834	50,780	50,280	54,248
Acquired Intangible Assets	29,043	30,577	31,188	31,506	35,050	37,164	36,839	36,182	35,569	34,997	34,463	33,965	28,160	31,506	36,182	33,965	32,105
Other assets	48,140	50,682	51,694	52,221	58,096	61,600	61,060	57,443	63,905	67,760	67,166	63,188	46,674	52,221	57,443	63,188	69,506
Non-current debt and equity investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Fixed Assets	123,252	128,135	131,390	133,561	143,305	148,880	149,330	144,406	149,859	152,737	151,614	147,433	120,514	133,561	144,406	147,433	155,860
Total Assets	344,085	331,233	331,495	359,241	379,297	371,082	383,266	396,856	415,513	429,497	442,505	461,928	364,980	359,241	396,856	461,928	521,561
Liabilities																	
Current Liabilities:																	
Accounts payable	61,910	54,126	50,374	69,860	70,587	57,349	64,525	73,995	70,238	72,203	69,833	86,530	68,960	69,860	73,995	86,530	89,456
Accrued expenses	69,612	70,825	71,478	75,442	77,956	66,985	71,797	73,469	80,060	81,889	88,355	81,998	86,553	75,442	73,469	81,998	85,196
Current Debt	12,843	19,620	19,268	20,329	13,824	10,307	13,004	13,004	13,004	13,004	13,004	13,004	20,879	20,329	13,004	13,004	13,004
Other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	144,365	144,571	141,120	165,631	162,367	134,641	149,326	160,469	163,302	167,096	171,192	181,532	176,392	165,631	160,469	181,532	187,656
Non-Current Liabilities																	
Long-term debt	83,956	78,566	82,430	78,328	76,685	74,404	71,340	71,340	71,340	71,340	71,340	71,340	85,750	78,328	71,340	71,340	71,340
Deferred revenue - non-current	3,199	2,747	2,851	2,731	3,457	3,772	3,805	2,763	2,845	3,073	3,339	2,881	2,960	2,731	2,763	2,881	2,809
Deferred tax liabilities	44,957	37,703	38,414	37,968	47,748	50,924	50,425	50,425	50,425	50,425	50,425	50,425	42,078	37,968	50,425	50,425	50,425
Other non-current liabilities	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850	850
Total Non-Current Liabilities	132,962	119,866	124,545	119,877	128,740	129,950	126,420	125,378	125,460	125,688	125,954	125,496	131,638	119,877	125,378	125,496	125,424
Total Liabilities	277,327	264,437	265,665	285,508	291,107	264,591	275,746	285,847	288,762	292,784	297,146	307,028	308,030	285,508	285,847	307,028	313,080
Series A preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Shareholder's Equity	66,758	66,796	65,830	73,733	88,190	106,491	107,520	111,009	126,751	136,713	145,359	154,900	56,950	73,733	111,009	154,900	208,482
Total Liabilities and Shareholder's Equity	344,085	331,233	331,495	359,241	379,297	371,082	383,266	396,856	415,513	429,497	442,505	461,928	364,980	359,241	396,856	461,928	521,561

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Apple Statement of Cash Flows

(\$ in millions)	2025A				2026E				2027E				Fiscal Year				
	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	2024A	2025A	2026E	2027E	2028E
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net Income / (Loss)	36,330	24,780	23,434	27,466	42,097	29,578	29,789	28,761	41,138	35,270	34,168	35,033	93,736	112,010	130,225	145,610	156,527
Cumulative effect of accounting change	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Adjustments to reconcile net income:	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation & Amortization	3,080	2,661	2,830	3,127	3,214	3,439	3,320	3,647	3,692	3,713	3,739	3,772	11,445	11,698	13,620	14,915	15,859
Stock based compensation expense	3,286	3,226	3,168	3,183	3,594	3,528	3,401	-	-	-	-	-	11,688	12,863	10,523	-	-
Provision for (benefit from) deferred income taxes	(2,009)	(208)	469	1,659	(528)	(1,189)	(320)	-	-	-	-	-	(2,266)	(89)	(2,037)	-	-
Gain on non-current investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gain on short-term investments, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Unrealized loss on conv. securities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash restructuring	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
In-Process R&D	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefit from ESO	-	-	-	-	-	-	-	699	633	633	633	633	-	-	699	2,532	1,937
Changes in Operating Assets and Liabilities:																	
Accounts receivable	3,597	3,669	(1,581)	(12,367)	(153)	9,448	(979)	(11,466)	6,971	(471)	(3,768)	(5,731)	(3,788)	(6,682)	(3,150)	(2,999)	8,085
Inventories	215	643	365	177	(211)	(873)	(4,377)	797	(1,997)	891	15	(653)	(1,046)	1,400	(4,664)	(1,744)	3,482
Other current assets	3,166	6,005	4,384	(13,902)	2,781	7,227	(4,337)	(7,330)	2,008	7,805	(4,684)	(7,916)	(11,731)	(347)	(1,659)	(2,787)	-
Other assets	939	(5,310)	(1,745)	(3,081)	(10,250)	(4,079)	(1,937)	3,617	(6,462)	(3,854)	593	3,979	(1,356)	(9,197)	(12,649)	(5,744)	(6,319)
Accounts payable	(6,671)	(7,933)	(3,875)	19,381	848	(13,145)	7,094	9,470	(3,757)	1,964	(2,370)	16,697	6,020	902	4,267	12,534	2,926
Deferred revenue	-	-	-	-	-	-	-	(1,042)	82	228	267	(458)	-	-	(1,042)	118	(72)
Accrued restructuring costs	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other current liabilities	(11,998)	(3,581)	418	4,085	12,533	(5,232)	2,715	1,672	6,590	1,830	6,466	(6,357)	15,552	(11,076)	11,688	8,529	3,198
Deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	29,935	23,952	27,867	29,728	53,925	28,702	34,369	28,827	48,899	48,009	35,058	38,998	118,254	111,482	145,823	170,963	185,624
Investing activities:																	
Purchase of short-term investments	(6,124)	(6,318)	(5,149)	(6,816)	(12,693)	(19,739)	(16,320)	-	-	-	-	-	(48,656)	(24,407)	(48,752)	-	-
Proceeds from maturities of short-term investments	15,967	10,620	8,449	5,871	7,510	11,181	7,813	-	-	-	-	-	51,211	40,907	26,504	-	-
Proceeds from sales of short-term investments	3,492	1,718	5,575	2,105	2,824	5,791	3,401	-	-	-	-	-	11,135	12,890	12,016	-	-
Purchases of long-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Proceeds from sale of PP&E	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of PP&E	(2,940)	(3,071)	(3,462)	(3,242)	(2,373)	(1,971)	(2,455)	(2,340)	(2,683)	(2,736)	(3,210)	(3,569)	(9,447)	(12,715)	(9,139)	(12,198)	(17,967)
Cash paid for acquisition of technology	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of ARM shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	(603)	(32)	(340)	(505)	(154)	(1,430)	(196)	-	-	-	-	-	(1,308)	(1,480)	(1,780)	-	-
Net cash used in investing activities	9,792	2,917	5,073	(2,587)	(4,886)	(6,168)	(7,757)	(2,340)	(2,683)	(2,736)	(3,210)	(3,569)	2,935	15,195	(21,151)	(12,198)	(17,967)
Financing activities:																	
Proceeds from issuance of common stock	-	-	-	-	-	-	-	31	31	32	33	34	-	-	31	130	141
Excess tax benefits from stock-based compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Taxes paid related to net share settlement	(2,921)	(284)	(2,514)	(241)	(2,922)	(330)	(3,210)	-	-	-	-	-	(5,441)	(5,960)	(6,462)	-	-
Dividends and dividend equivalent rights paid	(3,856)	(3,758)	(3,945)	(3,862)	(3,921)	(3,822)	(4,035)	(4,002)	(4,061)	(3,972)	(4,188)	(4,159)	(15,234)	(15,421)	(15,780)	(16,380)	(17,024)
Repurchase of common stock	(23,606)	(25,898)	(21,075)	(20,132)	(24,701)	(12,288)	(25,105)	(22,000)	(22,000)	(22,000)	(22,000)	(22,000)	(94,949)	(90,711)	(84,094)	(88,000)	(88,000)
Increase (decrease) in long-term borrowing	(1,009)	1,009	4,481	-	(2,164)	2,164	-	-	-	-	-	-	-	4,481	-	-	-
Increase (decrease) in notes payable to banks	(7,979)	(75)	(1,780)	(3,241)	(5,948)	(8,003)	(290)	-	-	-	-	-	(6,359)	(13,075)	(14,241)	-	-
Net Cash used in Financing Activities	(39,371)	(29,006)	(24,833)	(27,476)	(39,656)	(22,279)	(32,640)	(25,971)	(26,029)	(25,940)	(26,155)	(26,125)	(121,983)	(120,686)	(120,546)	(104,250)	(104,883)
Increase/(decrease) in Cash and Cash Equivalents	356	(2,137)	8,107	(335)	9,383	255	(6,028)	515	20,187	19,332	5,693	9,304	(794)	5,991	4,125	54,515	62,775
Adjustments for restatements	-	-	-	-	-	-	-	-	-	-	-	-	772	-	-	-	-
Cash and Cash Equivalents at Beginning of Period	29,943	30,299	28,162	36,269	35,934	45,317	45,572	39,544	40,059	60,246	79,578	85,271	29,965	29,943	35,934	40,059	94,574
Cash and Cash Equivalents at End of Period	30,299	28,162	36,269	35,934	45,317	45,572	39,544	40,059	60,246	79,578	85,271	94,574	29,943	35,934	40,059	94,574	157,349

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/30/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$333.43
CDW Corporation (CDW.O)	O (06/23/2026)	\$145.56
Cricut Inc (CRCT.O)	U (08/12/2021)	\$4.65
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$404.81
Everpure, Inc. (P.N)	E (06/11/2024)	\$75.06
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$297.55
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.71
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$47.14
HP Inc. (HPQ.N)	U (11/16/2025)	\$26.86
IBM (IBM.N)	E (01/18/2023)	\$221.74
Ingram Micro (INGM.N)	E (06/11/2025)	\$30.40
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.00
Logitech International SA (LOGI.O)	U (01/20/2026)	\$101.57
NetApp Inc (NTAP.O)	U (01/20/2026)	\$173.98
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$34.72
Seagate Technology (STX.O)	O (03/26/2024)	\$851.68
SmartRent, Inc. (SMRT.N)	++	\$1.02
Sonos Inc. (SONO.O)	E (11/06/2025)	\$14.43
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$252.12
Teradata (TDC.N)	O (04/08/2025)	\$30.56
Western Digital (WDC.O)	O (04/16/2025)	\$533.04
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$59.26

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* Historical prices are not split adjusted.

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